

CRL 5X / ECONOMIC ASSESSMENT OF CLIENT REPLACEMENT

B-book: the value of the relationship.

No configuration simultaneously improves average client wealth, relationship duration and positive B-book margin relative to traditional under the conditions examined. Replacement creates acquisition costs, but also new margins: both are included. The original premium remains the baseline. This result does not establish impossibility for every product or broker model.

With the original premium, exit after a realised loss of 50% and replacement from the following month, CAC would have to exceed \$16,771 for CRL margin to exceed traditional. However, CRL margin becomes negative above \$6,534: there is no viable interval. The initial client retains \$3,561 more on average. Exit thresholds are scenarios, not observed churn.

Original premium / 24 months	Exit at -20%	Exit at -50%
Client wealth STD / CRL \$	43,039 / 43,591	38,536 / 42,096
Total acquisitions /1,000 slots STD / CRL	2,781.2 / 1,563.9	1,340.4 / 1,001.3
Margin before CAC STD / CRL \$	14,929 / 6,481	12,231 / 6,543
CAC required for CRL to exceed STD \$	6,940	16,771
CAC at which CRL margin reaches zero \$	4,144	6,534

Replacement from the next month. Averages across 18 correlated variants. Margins per initial slot, clients with a \$50,000 deposit. Wealth refers to initial clients, including withdrawals. No premium increase in the figures on this page.

Why the avoided cost is not enough

CRL reduces the number of replacements to acquire, but the broker also forgoes their contribution. The acquisition cost that would offset the lower margin makes CRL loss-making before it outperforms traditional leverage. Even allowing the broker to decline uneconomic replacements, the original-premium check finds no joint solution on average.

Commercial conclusion

The client-capital benefit is defensible under the stated conditions. A simultaneous benefit for pure B-book has not been demonstrated. A-book and hybrids are separate branches, unchanged by this assessment. The result concerns these configurations: it is not a general impossibility theorem.

ORIGINAL PREMIUM / EXIT AT -50% / REPLACEMENT FROM THE NEXT MONTH

The accounts, month by month.

CAC = 0 is an accounting control, not an estimate. Each month, deduct CAC × cumulative acquired clients from the respective margin. Acquisitions include the initial 1,000 clients and replacements. No cost or profit beyond month 24 is brought forward.

Month	Acquisitions STD / CRL per 1,000 slots	Initial client wealth STD / CRL \$	Margin STD / CRL \$
1	1,000.0 / 1,000.0	48,811 / 50,203	1,157 / -265
2	1,000.0 / 1,000.0	47,804 / 50,260	2,138 / -382
3	1,000.0 / 1,000.0	48,307 / 50,088	1,607 / -276
4	1,000.0 / 1,000.0	47,251 / 49,114	2,639 / 649
5	1,000.1 / 1,000.0	46,614 / 48,771	3,251 / 930
6	1,000.4 / 1,000.0	46,618 / 48,215	3,221 / 1,424
7	1,001.0 / 1,000.0	46,545 / 47,931	3,269 / 1,647
8	1,002.1 / 1,000.0	45,111 / 47,479	4,677 / 2,043
9	1,007.1 / 1,000.0	43,858 / 47,126	5,913 / 2,333
10	1,013.7 / 1,000.0	43,252 / 47,037	6,512 / 2,363
11	1,020.4 / 1,000.0	43,175 / 46,686	6,577 / 2,662
12	1,028.0 / 1,000.0	42,225 / 46,653	7,523 / 2,650
13	1,035.1 / 1,000.0	42,237 / 46,569	7,507 / 2,669
14	1,045.1 / 1,000.0	41,638 / 45,755	8,101 / 3,430
15	1,068.7 / 1,000.0	41,779 / 44,423	7,969 / 4,702
16	1,112.5 / 1,000.0	40,879 / 43,179	8,932 / 5,895
17	1,142.2 / 1,000.0	40,787 / 42,578	9,080 / 6,442
18	1,171.4 / 1,000.1	40,737 / 43,357	9,247 / 5,597
19	1,201.5 / 1,000.2	40,199 / 42,796	9,879 / 6,104
20	1,233.6 / 1,000.2	40,002 / 43,295	10,178 / 5,543
21	1,259.5 / 1,000.2	39,700 / 42,899	10,559 / 5,882
22	1,285.6 / 1,000.4	39,312 / 42,883	11,113 / 5,845
23	1,311.3 / 1,000.6	39,243 / 42,809	11,351 / 5,866
24	1,340.4 / 1,001.3	38,536 / 42,096	12,231 / 6,543

An exiting client withdraws remaining capital, which is included in wealth. A replacement deposits their own money. Additional deposits are not broker revenue. Margin includes all client losses and gains, net of modelled operating and licence costs.

ONE CONFIGURATION FOR BOTH OUTCOMES

Method, limitations and reproducibility.

Design

All 17 previously calculated fees, 6 identical exit rules for traditional leverage and CRL, no replacement or replacement from the next month with 0, 1, 3 or 6 additional months of waiting. A 24-month horizon. No new price, stop, trigger or parameter to worsen traditional leverage. 510 configurations x 18 correlated variants; not 9,180 new market backtests.

Monthly recurrence

$a(0)=1$; $a(t)=\text{sum of } a(k) \times f(t-k-d)$, where f is the unconditional probability of first exit by relationship age and d is the delay. Only exits in earlier months are used. Each new cohort contributes at its age within month 24. Calculate each variant, then average. Curves are assumed stationary and transferable to new dates: a projection assumption, not historical evidence for later entrants.

Accounting

Net margin = original-client contribution + replacement contribution - fixed cost - CAC × acquisitions. The main fixed cost remains \$100 per initial slot over 24 months, even when vacant. A sensitivity adds the prorated fixed cost of each replacement. Wealth of all clients + margin after CAC + operating and acquisition costs = deposits from all clients. Average wealth of initial clients is compared over the same horizon; total wealth does not measure returns for cohorts of different sizes.

Success criterion

Same fee and conditions: higher average wealth for initial clients, longer average lifetime restricted to 24 months, and positive CRL margin exceeding traditional leverage after acquisition. None of the 510 configurations has a feasible interval of common non-negative CAC. For the original premium, an additional check with optimised optional replacement confirms no joint average solution across the six scenarios and four delays.

Checks and limitations

No-replacement replay, direct sum of all cohorts, maximum capacity, inflows/outflows, cash identity including CAC and input hashes: PASS. Maximum error below \$0.000001. These are internal checks, not a new independent review. Churn, acquisition capacity, timing and CAC are not calibrated to the broker. No cost of capital, taxes, terminal value or extrapolation beyond 24 months.

External source and required data

Plus500, Preliminary Results FY2025 (9 February 2026), p.2: AUAC \$1,267. A group average, not marginal CAC for CRL clients depositing \$50,000. Source: [primary document](#), verified on 3 October 2026. A commercial forecast requires broker data on acquisition by segment, closures/withdrawals, replacement timing and margins by relationship age; choosing a favourable CAC is not enough.